Gross Pay, Deductions and Net Pay

Concept

Gross pay is before deductions. Net pay is what remains after deductions.

Earnings

Hourly rate × hours; commission rate × sales; add base pay if given.

Net pay

Gross pay − total deductions.

Periods

Usually 26 biweekly or 24 semi-monthly payments in a stated annual model.

Tax brackets

Each rate applies only to its bracket portion. Practice rates are hypothetical.

Example 1

Earn $18/h for 40 regular hours and 5 overtime hours at 1.5 times the rate.

Solution

1. Regular $= 40(18) = \$720$; overtime rate $= 18(1.5) = \$27/h$.

2. Gross $= 720 + 5(27) = \$855$.

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Example 2

A hypothetical tax is 10% on the first $20,000 and 20% above that. Income: $30,000.

Solution

1. Tax $= 0.10(20{,}000) + 0.20(10{,}000) = \$4000$.

2. Average rate $= 4000/30{,}000 \approx 13.33\%$; marginal rate $= 20\%$.

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Practice | your turn

Show your steps. Include units and restrictions where needed.

1. Find gross pay for 32 h at $21/h.

2. Find 3% commission on $12,000 of sales plus a $400 base.

3. Gross pay is $1400. Stated deductions are 12% of gross plus $45. Find net pay.

4. Under the hypothetical brackets above, find tax and average rate on $25,000.

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Practice answers | check after trying

1. $672.

2. $0.03(12{,}000) + 400 = \$760$.

3. Percent deduction = $168; total deductions = $213; net = $1187.

4. Tax = $2000 + 0.20(5000) = \$3000$. Average rate = $3000/25{,}000 = 12\%$. Do not apply 20% to the entire income.